WJEC CBAC

Predicted Paper

GCE A LEVEL

1520U30-1

ECONOMICS – A2 unit 3

Exploring Economic Behaviour (Predicted Paper – Moderate)

2 hours

Surname: ________________________________ First name(s): ________________________________

Centre Number: __________ Candidate Number: __________

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Question	Maximum Mark
Section A 1.	8
2.	7
3.	8
4.	6
5.	11
Section B 6.	10
7.	8
8.	10
9.	12
Total	80

ADDITIONAL MATERIALS

In addition to this paper you may require a calculator and a ruler.

INSTRUCTIONS TO CANDIDATES

Use black ink or black ball-point pen. Do not use gel pen or correction fluid.

You may use a pencil for graphs and diagrams only.

Write your name, centre number and candidate number in the spaces at the top of this page.

Answer all questions.

Write your answers in the spaces provided in this booklet.

INFORMATION FOR CANDIDATES

The number of marks is given in brackets at the end of each question or part-question.

You are reminded of the necessity for good English and orderly presentation in your answers.

SECTION A

Answer all questions in the spaces provided.

1.

In 2022, Amazon opened its largest UK fulfilment centre in Swindon, covering an area the size of 28 football pitches. Amazon has aggressively expanded its UK warehouse network to benefit from economies of scale, bulk-buying from suppliers and using sophisticated robotic technology. Amazon's investment has encouraged component suppliers, logistics firms and packaging companies to open facilities nearby, and the local council has improved road links to the site.

However, some commentators have raised concerns about Amazon's expansion. Reports suggest that as sites have grown larger, managers have struggled to supervise workers effectively, communication between warehouse floors has broken down, and staff turnover has risen sharply as worker morale declines.

(a) Using a diagram and with reference to the data, outline the difference between internal economies of scale and internal diseconomies of scale. **[4]**

Draw your diagram in the space below.

(b) Using a diagram, outline how Amazon might benefit from external economies of scale in Swindon. **[4]**

Draw your diagram in the space below.

2. The diagram below represents a short-run profit-maximising firm operating in a monopolistically competitive market.

[Diagram: standard monopolistically competitive firm diagram showing downward-sloping AR and MR curves, with U-shaped AC and MC curves. AR is above AC at the profit-maximising output.]

Key curves shown: MC, AC, AR (D), MR.

(a) On the diagram, indicate the profit-maximising level of output produced by this firm. **[1]**

(b) Shade the area that represents the firm's short-run supernormal (abnormal) profit. **[2]**

(c) Explain what will happen to this firm's level of supernormal profit in the long run. **[4]**

3.

Royal Mail is the UK's universal postal service, established in 1516 and nationalised in 1969. In 2013, the UK government partially privatised Royal Mail, selling 60% of its shares to private investors and employees through a stock market flotation. By 2015, Royal Mail had been fully privatised.

Supporters of privatisation argued that Royal Mail needed private investment to modernise, respond to declining letter volumes, and compete with parcel rivals such as DPD and Amazon Logistics. Critics argued that the shares were sold at too low a price, meaning taxpayers lost out, and that a privatised Royal Mail would prioritise shareholder returns over service quality.

Since privatisation, Royal Mail has invested heavily in parcel automation, but has also faced strikes by Communication Workers' Union (CWU) members, a fall in share price below the 2013 flotation level, and fines from Ofcom for missing delivery targets. In 2024, Royal Mail's parent company agreed to a £3.5bn takeover by a Czech billionaire.

Evaluate the view that the privatisation of Royal Mail has been successful. **[8]**

4. In 2022 and 2023, the Bank of England raised its Bank Rate from 0.25% to 5.25% in response to rising inflation.

Figure 1: Bank of England Bank Rate 2021–2024

Date	Bank Rate (%)
Dec 2021	0.25
June 2022	1.25
Dec 2022	3.50
June 2023	5.00
Aug 2023	5.25
Aug 2024	5.00

Analyse the likely impact of higher interest rates on aggregate demand in the UK. **[6]**

5. The Bank of England has a symmetric CPI inflation target of 2%.

Figure 1: UK CPI inflation rate 2019–2024 (annual % change)

Year	CPI inflation (%)
2019	1.8
2020	0.9
2021	2.6
2022	9.1
2023	7.3
2024	2.8

Figure 2: UK annual inflation rate for selected product categories, March 2022 to March 2023

Category	Food	Household energy	Clothing & footwear	Housing rent	Transport services	Motor fuel
Annual inflation rate	19.1%	26.1%	7.2%	4.9%	6.3%	-5.9%
Weighting (% of spending)	11	27	7	31	18	6

(a) Using the data in Figure 2, calculate a price index for the UK in March 2023, taking March 2022 as the base period. You are advised to show your working. **[3]**

Figure 3: Index of real and nominal average weekly earnings in the UK, 2019–2023 (2023 = 100)

Year	Nominal wage index	Real wage index
2019	84	104
2020	87	105
2021	91	104
2022	95	101
2023	100	100

(b) Assess whether the UK is likely to experience a wage-price spiral. **[8]**

SECTION B

Answer all questions in the spaces provided.

The UK Cost of Living Crisis

Between 2021 and 2024, UK households experienced the most severe squeeze on living standards since the 1950s. Consumer prices rose by over 20% cumulatively, while average real wages fell for much of the period. Low-income households were hit hardest, as essentials such as food and energy make up a larger share of their spending.

Figure 1: UK household disposable income per capita (2019 = 100, real terms)

Year	2019	2020	2021	2022	2023	2024
Real disposable income per capita	100	101	102	98	97	99

The energy price shock was driven partly by the war in Ukraine, which pushed European wholesale gas prices to record highs. The UK is particularly vulnerable because around 40% of homes rely on gas-fired heating and the UK imports roughly half of its natural gas.

Table 1: UK imported commodity prices 2020–2023

Commodity	2020 price	2023 price
Natural gas (£/therm)	0.25	1.10
Wheat (£/tonne)	155	230
Crude oil (£/barrel)	34	65
Fertiliser (£/tonne)	180	560

UK firms that import raw materials, components or energy passed rising costs through to final consumers. This was particularly evident in food manufacturing and hospitality. Many small and medium-sized enterprises (SMEs) reported falling profit margins and, in some sectors, a wave of business closures. Pub closures reached their highest level in over a decade in 2023.

Figure 2: UK Bank Rate and CPI inflation, 2021–2024

Year	Bank Rate (%) end-year	CPI inflation (%)
2021	0.25	5.4
2022	3.50	10.5
2023	5.25	4.0
2024	5.00	2.8

The UK government faced policy difficulties. Running a large fiscal deficit could fuel inflation further, while austerity would damage public services already struggling after more than a decade of restraint. The government ultimately chose a mixed approach: an Energy Price Guarantee subsidy that cost an estimated £40bn, one-off cost-of-living payments to low-income households, and an increase in the windfall tax on North Sea oil and gas producers. UK public sector debt rose above 100% of GDP for the first time since the 1960s.

The Bank of England could have intervened more aggressively. Some commentators argued that the Bank should have raised interest rates earlier and more sharply to contain inflation. Others argued this would have pushed the UK into a deep recession, with millions of mortgage holders facing unaffordable repayments. Alternatively, the Bank could have used quantitative tightening (selling government bonds) more rapidly to reduce the money supply.

In the long run, some have argued that the UK needs a coherent industrial strategy to reduce dependence on imported energy and food. Proposals include investment in nuclear power, offshore wind, domestic food production, and retraining to support the green transition. Critics argue that such strategies have been tried before and that the UK's problems are more deep-seated, including chronically low productivity growth (under 1% per year since 2008), skills shortages, and regional inequality.

Table 2: Selected UK socio-economic indicators

Indicator	UK	G7 average	OECD average
Life expectancy at birth (years)	80.4	82.1	80.3
Labour productivity (GDP per hour, US$)	62.5	71.8	57.2
Adult literacy (%)	99.0	99.1	98.1
Gini coefficient (income inequality)	0.355	0.330	0.316
Public debt (% of GDP)	101.3	121.8	90.4
Renewable electricity generation (%)	43.1	32.0	31.7

By late 2024, UK inflation had fallen back close to the 2% target, and the Bank of England began to cut interest rates. However, many households reported that their standard of living had not yet recovered to pre-2022 levels. The new government promised a 'decade of national renewal' based on investment, reform of planning rules, and closer trading relations with the EU.

6.

(a)

(i) Using the data in Table 1, calculate the percentage change in the price of natural gas between 2020 and 2023. You are advised to show your working. **[2]**

(ii) A UK food manufacturer uses 500 tonnes of wheat and 100 tonnes of fertiliser per year. Using the data in Table 1, calculate the percentage increase in its total annual commodity cost between 2020 and 2023. You are advised to show your working. **[2]**

(b) With reference to the data and using a cost and revenue diagram, show how higher commodity and energy prices have resulted in higher prices, fewer sales and falling profits for UK firms. **[6]**

7. Evaluate the extent to which the UK's cost of living crisis was the result of external rather than internal factors. **[8]**

8. Discuss whether the Bank of England should have intervened more aggressively through monetary policy, as suggested in the case, to control inflation in the UK. **[10]**

9. With reference to the case study, discuss whether living standards in the UK are likely to be improved by the government's proposed industrial strategy. **[12]**

END OF PAPER